The Star Entertainment Group (: SGR.AX)

Q1 FY27 Earnings — Analyst Brief · Released 27 Oct 2026 · Currency AUD (A$m; USD equivalents at AUD/USD 0.70 shown as ~$)

Shares closed +13.0% at A$0.130 (~US$0.09) on 27 Oct 2026 (prior close A$0.115; intraday high ~A$0.138, +19.6%). Halted 28 Oct for the AUSTRAC judgment; resumed 29 Oct +5.8% to ~A$0.14; trading ~A$0.16–0.17 by 9 Nov 2026.

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THE ONE-LINE VERDICT

The Star's Q1 FY27 (Sep-26 quarter) is the first positive EBITDA print in more than two years — A$12m (~$8m) vs –A$13m pcp — driven entirely by the two owned properties (Sydney + Gold Coast EBITDA A$35m / ~$24.5m, +164% YoY) and a 29% cut in unallocated corporate costs, partly offset by the Brisbane operator-fee reset (–67%). The operating turnaround is real but small: a ~A$48m annualised group EBITDA run-rate sits below our ~A$70m estimate of annual cash interest (currently paid from a restricted reserve), statutory operating cash flow was still –A$15.5m, cash fell A$28m to A$239m, and the day after the AGM the Federal Court imposed a A$260m (~$182m) AUSTRAC penalty that triggers a WhiteHawk review event. The equity remains a levered option on licence restoration and Bally's continued support, not a cash-flow story yet.

GROUP REVENUE (Q1 FY27)	GROUP EBITDA	OWNED-PROPERTY EBITDA (SYDNEY + GOLD COAST)	UNALLOCATED CORPORATE COSTS	CASH & EQUIVALENTS (30 SEP 26)	NET OPERATING CASH FLOW (APP. 4C)
A$284m (~$199m)	**A$12m (~$8m)**	**A$35m (~$24.5m)**	**A$23m (~$16m)**	**A$239m (~$167m)**	**–A$15.5m (~–$11m)**
+2% YoY / +8% QoQ (pcp restated A$280m)	+A$25m YoY (vs –A$13m); +A$21m QoQ	+164% YoY; margin 12.5% (+720bps)	–29% / –A$10m YoY	–A$28m QoQ; +A$80m restricted deposits	incl. +A$41.5m one-off receipts & unquantified duty payment

1 EXECUTIVE SUMMARY

- **First positive quarter in >2 years.** Group EBITDA (before significant items, share-based expense and discontinued ops) was A$12m (~$8m) vs a –A$13m loss in Q1 FY26 and –A$9m in Q4 FY26 — a A$25m YoY and A$21m QoQ swing. There is no meaningful sell-side consensus and the company gives no numerical guidance; the market read it as a clear beat against trajectory (shares +13% to A$0.130).
- **Revenue A$284m (~$199m), +2% YoY / +8% QoQ — but flat on the originally reported basis.** The pcp was restated down from A$284m (as reported at the Nov-25 AGM) to A$280m with Treasury Brisbane reclassified to discontinued operations. Underlying growth sits in the owned properties (+5% YoY to A$279m), offset by the Brisbane operator fee falling 67% to A$4.5m.
- **The owned properties did all the work.** Sydney + Gold Coast segment EBITDA rose to A$35m (~$24.5m) from A$14m pcp (+164%) and A$16m in Q4 (+125%); combined margin 12.5% vs 5.3% pcp (+720bps) and 6.2% in Q4. Sydney A$15m (vs A$3m), Gold Coast A$20m (vs A$11m). Both properties are now EBITDA/operating-cash positive per the Chairman.
- **Growth is EGM-led and promo-funded.** Management attributes the revenue recovery at both properties to electronic gaming machine growth 'driven by recent revenue and marketing initiatives'; Sydney table games and cash non-gaming were soft, the latter 'due to increased complimentary investment' and the Sep-25 sale of the Event Centre. No volume/actives/win-rate KPIs are disclosed, so the quality of the EGM growth (visitation vs reinvestment) cannot be verified.
- **Cost-out is tangible but has no quantified target or end-date.** Unallocated corporate costs A$23m (~$16m), –A$10m/–29% YoY; group opex A$202m, –12% YoY, falling to 71.1% of revenue from 81.8% (–1,070bps). At FY26 the company said corporate costs fell A$75m in the year and June-quarter annualised corporate costs of A$178m were 38% below FY25. Decentralisation of customer-facing functions to the properties was completed in October; management expects further unallocated-cost reductions, explicitly to 'fund increased marketing investments'.
- **Accounting change reduces comparability.** From FY27 corporate shared-service costs are directly attributed to properties (previously a fixed-percentage allocation); FY26 comparatives have been restated with no impact on group EBITDA. Property margins are therefore not comparable with any pre-FY27 disclosure (e.g. Gold Coast H1 FY26 EBITDA of A$15.2m under the old method vs A$11m restated for Q1 FY26 alone).
- **Brisbane: record operating result, near-zero economics to Star.** The managed Star Brisbane delivered EBITDAM of A$37m (~$26m), nearly 3x pcp (A$13m) and +43% QoQ, on revenue of A$136m (+14%) — a 27.2% margin; the Chairman says EBITDAM now annualises at >A$150m vs ~A$50m when Bally's took control. But under the CMA amended on 1 Apr 2026 (Stage 1 of the JVP transaction), Star's operator fee was A$4.5m vs A$13.8m pcp and segment EBITDA was nil (vs A$6m). Stage 2 of the transaction is expected by 31 Mar 2027.
- **Cash fell A$28m to A$239m (~$167m) in the quarter — and to ~A$200m by the AGM.** Total cash and deposits were A$319m (~$223m) vs A$368m at 30 June, including A$80m of restricted deposits (down from A$101m), of which A$48m is the Interest Reserve Account funding WhiteHawk interest to May 2027. The Chairman told the AGM on 27 Oct the cash balance was 'approximately A$200 million', implying a further ~A$40m outflow in October that the company did not explain (timing of duty/other payments — [unverified]).
- **Statutory operating cash flow was –A$15.5m; the 'positive op FCF ex one-offs' claim rests on an unquantified duty payment.** Appendix 4C shows +A$41.5m of one-off receipts (ATO settlement on GST/withholding tax on junket payments, plus returned rebate duty) and an undisclosed one-off payment of historical underpaid NSW casino duty inside operating costs. For management's statement to hold, the duty payment must have exceeded ~A$57m (our arithmetic: 15.5 + 41.5), or ~A$63m after A$5.7m capex. The amount is not disclosed — [unverified].
- **Interest is not yet running through operating cash flow.** No interest was paid via the 4C in the quarter; WhiteHawk interest is being met from the Interest Reserve Account through May 2027. With A$48m left to cover ~8 months, implied cash interest is ~A$6m/month (~A$70m+ p.a., ~13% on A$559m) — our estimate, not company-disclosed. From June 2027 this becomes a direct cash drag that exceeds the current ~A$48m annualised group EBITDA run-rate.
- **Debt: US$390m (A$559.1m / ~$391m) WhiteHawk senior secured facility, fully drawn, maturing May 2029; no undrawn committed**

debt. Loan facilities drawn A$570.7m including the A$11.6m 9% PIK liability to Bally's/Investment Holdings, which was converted on 29 Oct into 105.9m shares at A$0.1123 (Bally's 62.57m, IH 43.35m) following 99.5%+ AGM approval. Unused facilities are only A$6.0m of bank-guarantee headroom. Our net debt estimate: ~A$331m (~$232m) ex restricted deposits, ~A$252m (~$176m) including them; leverage is n/m on LTM EBITDA of ~A$9m.

- **Guidance is qualitative and unchanged in direction.** At FY26 (31 Aug) management said it expected to start building cash in FY27 excluding non-operating items; Q1 reiterates that FY27 'is expected to be the first time The Star will generate net annual operating cash inflows, before one-off items, in more than two years' and that 'momentum has continued in October'. No revenue, EBITDA or capex guidance is provided. Note AUSTRAC instalments are 'non-operating' in this framing.
- **Post-quarter AUSTRAC judgment (28 Oct): A$260m (~$182m) penalty, accepted.** A$195m attributed to Sydney conduct and A$65m to Queensland, payable in four instalments over 19 months (avg ~A$65m each). AUSTRAC had sought A$400m; Star had argued anything above A$100m risked liquidation. The company says the quantum is 'materially in line with' the FY26 provision and will not affect going concern, but that it constitutes a review event under the WhiteHawk facility; it is in discussions with the lender and 'confident' the facility remains available.
- **Licence overhang extended, not resolved.** The NICC advised the Star Sydney licence suspension remains in effect and the Manager's appointment runs to 30 Jun 2027 (unless ended earlier); Queensland confirmed the Gold Coast suspension deferral and Special Manager to 31 Mar 2027 and extended the Brisbane External Adviser to 31 Mar 2027. CEO Mathieson called the outcome 'disappointing'; >85% of remediation-plan milestones are complete. Decentralisation is described as a critical regulatory milestone.
- **Going-concern language retained.** The release repeats that liquidity is 'subject to and dependent on the outcome of a number of material uncertainties' (Note G of the FY26 accounts) and that materiality will be reassessed at the H1 FY27 filing (Feb 2027). The 4C's mechanical '15.9 quarters of funding' figure is meaningless against A$260m of penalties.
- **Gaming-tax take rising with mix.** Gaming taxes and levies rose 10% YoY to A$70m on +2% revenue — 24.6% of revenue vs 22.9% pcp (+170bps) — consistent with the shift toward higher-duty EGM revenue (Sydney 29.6% vs 28.0%). This is a structural drag on the flow-through of EGM-led growth.
- **Ownership and governance.** Bally's holds ~38% and, with Investment Holdings (Mathieson family), ~61% combined; every AGM resolution passed with >96% support. Chairman Soo Kim's remark that this is 'my first and last Annual General Meeting… if the reporting is to be believed' hints at a possible change in listed status — unconfirmed and not addressed further.
- **Management rebuild.** New property CEOs John Koster (Sydney) and Ameet Patel (Gold Coast & Brisbane) with property boards; the Gold Coast Tower 2 is delivered and the Andaz hotel opens in November 2026. Star funded A$5.1m of loans and A$1.0m of PP&E for the Destination Gold Coast Consortium JV in the quarter.
- **FY26 backdrop for scale.** FY26 normalised revenue A$1,101m (FY25 A$1,125m), normalised EBITDA –A$16.1m (FY25 –A$76m), statutory net loss A$307.3m (FY25 –A$428m) after A$144m of significant items; H1 FY26 average monthly free-cash burn was ~A$20m. Q1 FY27's A$12m EBITDA therefore represents a ~A$100m+ annualised improvement vs the FY26 average quarter but is still thin against ~A$560m of gross debt.
- **Thesis read-through.** The bear case (structural revenue decline, uncontrolled cost base) has been answered for now; the remaining case is a balance-sheet and regulatory one. Over the next 19 months Star must fund ~A$260m of penalties plus (from June 2027) ~A$70m p.a. of cash interest from ~A$200m of cash and an EBITDA base that annualises at ~A$48m — the arithmetic only works with continued EBITDA compounding, Brisbane Stage 2, asset/JV monetisation, or further Bally's support.

2 GROUP FINANCIAL SUMMARY

A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP, RESTATED)	QOQ	YOY
REVENUE BY SEGMENT					
The Star Sydney	162 (~$113m)	150 (~$105m)	161 (~$113m)	+8%	+1%
The Star Gold Coast	117 (~$82m)	107 (~$75m)	105 (~$74m)	+9%	+12%
The Star Brisbane – operator fee	4.5 (~$3m)	5 (~$3.5m)	13.8 (~$10m)	0%	–67%
Group revenue Before significant items, share-based expense and discontinued ops (Treasury Brisbane); excludes DBC cost recovery at nil margin. Q1 FY26 originally reported as A$284m.	**284 (~$199m)**	**262 (~$183m)**	**280 (~$196m)**	**+8%**	**+2%**
REVENUE BY PRODUCT					
EGM / tables / non-gaming split Not disclosed in quarterly reporting. Commentary: EGMs up strongly YoY at both properties; Sydney tables and cash non-gaming soft (higher complimentaries; Event Centre sold Sep-25).	n/a	n/a	n/a	n/a	n/a
COSTS					
Gaming taxes & levies 24.6% of revenue vs 25.2% Q4 and 22.9% pcp.	(70) (~$49m)	(66) (~$46m)	(64) (~$45m)	+6%	+10%
Operating expenses 71.1% of revenue vs 78.2% Q4 and 81.8% pcp.	(202) (~$141m)	(205) (~$144m)	(229) (~$160m)	–1%	–12%
of which unallocated corporate costs	(23) (~$16m)	(24) (~$17m)	(33) (~$23m)	–4%	–29%
EARNINGS					
Group EBITDA	**12 (~$8m)**	**(9) (~–$6m)**	**(13) (~–$9m)**	**+A$21m**	**+A$25m**
Group EBITDA margin	4.2%	–3.4%	–4.6%	+760bps	+880bps
The Star Sydney EBITDA	15 (~$10.5m)	(1) (~–$0.7m)	3 (~$2m)	+A$16m	+A$12m
The Star Gold Coast EBITDA	20 (~$14m)	17 (~$12m)	11 (~$8m)	+18%	+92%
The Star Brisbane segment EBITDA	0	(1) (~–$0.7m)	6 (~$4m)	nmf	nmf
Owned properties EBITDA (Sydney + Gold Coast)	35 (~$24.5m)	16 (~$11m)	14 (~$10m)	+125%	+164%
Owned properties EBITDA margin	12.5%	6.2%	5.3%	+630bps	+720bps
Net income / GAAP & adjusted EPS Not disclosed in ASX quarterly activities reports. FY26 statutory net loss A$307.3m (~$215m); FY26 normalised NPAT –A$159m.	n/a	n/a	n/a	n/a	n/a
MANAGED PROPERTY (NOT CONSOLIDATED)					
The Star Brisbane revenue	136 (~$95m)	121 (~$85m)	119 (~$83m)	+12%	+14%
The Star Brisbane EBITDAM (before operator fee) Record quarter; 27.2% margin. Excludes owner-level (DBC) costs.	37 (~$26m)	26 (~$18m)	13 (~$9m)	+43%	+193%
CASH FLOW (APPENDIX 4C)					
Net cash from operating activities Includes +A$41.5m one-off receipts (ATO GST/WHT junket settlement, rebate duty refund) and an unquantified one-off payment of historical underpaid NSW casino duty. No cash interest in operating CF (funded from Interest Reserve Account).	(15.5) (~–$11m)	n/a	n/a	n/a	n/a
Capex (PP&E)	(5.7) (~–$4m)	n/a	n/a	n/a	n/a
Loans to DGCC JV / dividends received	(5.1) / +0.4	n/a	n/a	n/a	n/a
Net change in cash & equivalents Incl. –A$1.7m FX effect on cash.	(27.6) (~–$19m)	n/a	n/a	n/a	n/a
BALANCE SHEET & KPIS					
Cash & cash equivalents	239 (~$167m)	267 (~$187m)	n/a	–A$28m	n/a
Restricted deposits (incl. A$48m Interest Reserve Account)	80 (~$56m)	101 (~$71m)	n/a	–A$21m	n/a
Total cash & deposits	319 (~$223m)	368 (~$258m)	n/a	–A$49m	n/a
Gross debt drawn (WhiteHawk US$390m + A$11.6m PIK) US$390m = A$559.1m at 30 Sep 26. Facility matures May 2029. Unused committed facilities: A$6.0m (bank-guarantee headroom only).	570.7 (~$400m)	n/a	n/a	n/a	n/a
Net debt (est., ex restricted deposits) Analyst estimate: drawn loans less cash & equivalents; ~A$252m (~$176m) including restricted deposits. Excludes leases.	~331 (~$232m)	n/a	n/a	n/a	n/a

A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP, RESTATED)	QOQ	YOY
Net debt / LTM EBITDA	n/m (LTM EBITDA ~A$9m)	n/m	n/m	n/a	n/a
Group KPIs (actives, visitation, EGM turnover, win rates) [Not disclosed.]	n/a	n/a	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — THE STAR SYDNEY

EBITDA A$15m (~$10.5m) on flat revenue — a cost and EGM-mix story, with tables and non-gaming still soft and the licence suspension extended to June 2027.

REVENUE AND MIX

Sydney revenue of A$162m (~$113m) rose 1% on the pcp and 8% on the June quarter — first evidence of stabilisation, not growth.

- Management cites strong year-on-year electronic gaming machine growth partially offset by softness in table games and non-gaming.
- Non-gaming drags: higher complimentary investment reducing reported cash non-gaming revenue, and lost events and catering revenue after the Event Centre sale in September 2025.
- Chairman told the AGM the properties endured roughly three years of double-digit year-on-year monthly declines.
- The +8% QoQ move is more encouraging but Q4 FY26 (A$150m) was a weak base.

COSTS AND EBITDA

Segment EBITDA of A$15m (~$10.5m), margin 9.3% versus 1.9% pcp and –0.7% in Q4; on the numbers, essentially all the improvement is cost.

- Gaming taxes and levies rose 7% to A$48m (~$34m), 29.6% of revenue versus 28.0% pcp (+160bps), consistent with higher-duty EGM mix.
- Operating expenses fell 13% YoY and 7% QoQ to A$99m (~$69m), 61.1% of revenue versus 70.2% — a 910bps improvement and the real driver.
- EBITDA compares with A$3m in the pcp and a A$1m loss in Q4, a A$12m YoY improvement.

> *"stabilisation of revenues and improving cost efficiencies"* — **Management**

COMPARABILITY CAVEATS

Restated cost allocation and missing operating KPIs mean the result cannot be benchmarked against prior disclosures or decomposed between volume and promotion.

- From FY27 corporate shared-service costs are directly attributed to properties; FY26 figures restated, so neither A$3m pcp EBITDA nor 9.3% margin compares with earlier disclosures.
- No disclosure of EGM revenue, table drop, win rates, visitation or active members.
- Rising comp spend and the statement that cost savings will 'fund increased marketing investments' suggest promotional reinvestment is a meaningful part of the mix.
- Group cash advertising and marketing was only A$10.4m (3.6% of revenue), but complimentaries are netted in revenue rather than shown as marketing.

REGULATION

The Sydney casino licence remains suspended and the Manager's appointment has been extended to 30 June 2027 unless terminated earlier.

- This is a further extension after the September 2025 extension to March 2026.
- CEO noted more than 85% of remediation milestones are complete and the decentralised operating model completed in October is itself a regulatory milestone.
- Post-quarter, A$195m (~$137m) of the A$260m AUSTRAC penalty was attributed to Sydney conduct.
- Quarter included an unquantified one-off payment of historical underpaid casino duty agreed with NSW Treasury.

> *"disappointing"* — **CEO**

ANALYST READ

A 9% EBITDA margin for Sydney's only EGM-licensed casino is still a fraction of historical earnings; recovery is cost reset plus EGM promotion.

- Not a table-games or premium-mass rebuild.
- Path depends on new property CEO John Koster holding the opex line while reinvestment rates normalise, and on the NICC timeline now running to mid-2027.
- With roughly A$160m quarterly revenue, every 100bps of margin is ~A$6.5m of annual EBITDA, so leverage to table/non-gaming stabilisation is significant.
- Exposure to phased NSW gaming-duty increases and any pull-back in promotional spend is equally significant.

THE STAR SYDNEY, A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP, RESTATED)	QOQ	YOY
Revenue	**162 (~$113m)**	**150 (~$105m)**	**161 (~$113m)**	**+8%**	**+1%**
EGM / tables / non-gaming revenue [Not disclosed. Non-gaming also hit by Event Centre sale (Sep-25) and higher complimentaries.]	n/a	n/a	n/a	EGMs up; tables & non-gaming soft	EGMs up strongly; tables & non-gaming soft
Gaming taxes & levies	(48) (~$34m)	(45) (~$31m)	(45) (~$31m)	+6%	+7%
Gaming taxes % revenue	29.6%	30.0%	28.0%	–40bps	+160bps
Operating expenses	(99) (~$69m)	(106) (~$74m)	(113) (~$79m)	–7%	–13%
Opex % revenue	61.1%	70.7%	70.2%	–960bps	–910bps
Segment EBITDA	**15 (~$10.5m)**	**(1) (~–$0.7m)**	**3 (~$2m)**	**+A$16m**	**+A$12m**
EBITDA margin	9.3%	–0.7%	1.9%	+1,000bps	+740bps
Casino licence status	Suspended; Manager to 30 Jun 2027	Suspended; Manager to 31 Mar 2026 (then extended)	Suspended	—	—
AUSTRAC penalty attributed to Sydney (post-quarter, 28 Oct 26) [Part of A$260m total; four instalments over 19 months.]	195 (~$137m)	—	—	—	—
Actives / visitation / win rate	n/a	n/a	n/a	n/a	n/a

4 SEGMENT DEEP-DIVE — THE STAR GOLD COAST

The cleanest growth story in the group: revenue +12% YoY to A$117m (~$82m), EBITDA +92% to A$20m (~$14m), margin 17.1% — bought with higher marketing, with Andaz opening in November.

REVENUE GROWTH

Gold Coast revenue rose 12% YoY and 9% QoQ to A$117m (~$82m), the second consecutive quarter of sequential growth.

- Growth driven by strong EGM performance from increased marketing investment and promotional initiatives.
- Q4 FY26 revenue was A$107m; the property is now back above its Q1 FY26 level with room to spare.
- No disclosure of EGM turnover, table drop, hotel occupancy or active members, so growth cannot be split between visitation and reinvestment.

> *"increasing substantially on the pcp due to strong growth in electronic gaming machines, driven by increased marketing investment and promotional initiatives"* — **Management**

COSTS AND MARGIN

EBITDA of A$20m (~$14m) rose 92% YoY to a 17.1% margin, but QoQ flow-through was only ~30% because A$6m went to marketing.

- Gaming taxes rose 17% to A$22m (~$15m), 18.8% of revenue versus 18.1% pcp, consistent with EGM mix.
- Operating expenses A$75m (~$52m), 1% lower YoY but 8% higher QoQ; management says the QoQ step-up is marketing.
- Margin 17.1% versus 10.5% pcp (+660bps) and 15.9% in Q4 (+120bps); EBITDA up A$9m YoY and A$3m (+18%) QoQ.
- YoY A$12m incremental revenue produced A$9m EBITDA (~75%, flattered by restated allocation and cost-out); QoQ A$10m produced only A$3m.

CAPITAL AND ANDAZ

Gold Coast is the group's main capital call and holds its asset-value optionality, with Andaz opening in November 2026.

- Star funded A$5.1m of loans to the Destination Gold Coast Consortium JV and A$1.0m of PP&E on its behalf; received A$0.4m dividends.
- Chairman confirmed Tower 2 delivered; Andaz opens into the seasonally strongest December quarter.
- Stage 1 DBC unwind transferred JV partners' Gold Coast interests to Star in exchange for its share of Brisbane and the Treasury property.

REGULATION AND LEADERSHIP

Queensland deferred the Gold Coast licence suspension and extended the Special Manager's appointment to 31 March 2027.

- Previous appointment end date was 30 September 2026.
- A$65m (~$46m) of the AUSTRAC penalty was attributed to Queensland conduct.
- Ameet Patel has taken over as property CEO for both Gold Coast and Brisbane.

ANALYST READ

Growth here is unambiguous and the margin respectable, but marketing opex is scaling with revenue so incremental margin is nearer 30% than 75%.

- Andaz opening gives a clear near-term catalyst.
- We would want QoQ opex growth to decouple from revenue growth over the next two quarters before extrapolating the 17% margin higher.

THE STAR GOLD COAST, A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP, RESTATED)	QOQ	YOY
Revenue	**117 (~$82m)**	**107 (~$75m)**	**105 (~$74m)**	**+9%**	**+12%**
EGM / tables / non-gaming revenue	n/a	n/a	n/a	EGM-led	EGM-led (marketing & promotions)
Gaming taxes & levies	(22) (~$15m)	(21) (~$15m)	(19) (~$13m)	+6%	+17%
Gaming taxes % revenue	18.8%	19.6%	18.1%	–80bps	+70bps
Operating expenses	(75) (~$52m)	(69) (~$48m)	(75) (~$52m)	+8%	–1%
Opex % revenue	64.1%	64.5%	71.4%	–40bps	–730bps
Segment EBITDA	**20 (~$14m)**	**17 (~$12m)**	**11 (~$8m)**	**+18%**	**+92%**
EBITDA margin	17.1%	15.9%	10.5%	+120bps	+660bps
Incremental EBITDA flow-through (est.) Analyst calculation; YoY flattered by cost allocation restatement.	—	—	—	~30% (A$3m on A$10m)	~75% (A$9m on A$12m)
Loans / capex funded for DGCC JV in quarter	5.1 / 1.0 (~$3.6m / ~$0.7m)	n/a	n/a	—	—
Casino licence status	Suspension deferred; Special Manager to 31 Mar 2027	Deferred to 30 Sep 2026 (then extended)	Deferred	—	—
AUSTRAC penalty attributed to Queensland (post-quarter)	65 (~$46m)	—	—	—	—

5 SEGMENT DEEP-DIVE — THE STAR BRISBANE (MANAGED) & TREASURY BRISBANE (DISCONTINUED)

Record EBITDAM of A$37m (~$26m) for the managed resort, but Star's operator fee fell 67% to A$4.5m and the segment contributed nil EBITDA — a capability showcase with no P&L.

OPERATOR FEE

Star's operator fee fell 67% to A$4.5m (~$3m) and the segment contributed nil EBITDA versus A$6m in the pcp.

- Pcp fee was A$13.8m; fee flat on Q4 FY26.
- Reset follows the amended Casino Management Agreement effective 1 April 2026 on Stage 1 completion: Star transferred its Brisbane and Treasury interests, was released from a A$700m guarantee and received Gold Coast interests.
- Directly attributable overheads of A$5m (–37% YoY) absorbed the entire fee.
- The A$6m YoY drag offsets a fifth of the owned-property improvement at group level.

MANAGED PROPERTY PERFORMANCE

The Star Brisbane posted record revenue of A$136m (~$95m), +14% YoY, and EBITDAM of A$37m (~$26m) at a 27.2% margin.

- Revenue up 12% QoQ; EBITDAM nearly triple the A$13m pcp and 43% above Q4's A$26m.
- Margin 27.2% versus 10.9% pcp and 21.5% in Q4.
- EBITDAM excludes costs DBC incurs directly as owner; management says read it as an operating-trend indicator, not a consolidated metric.

> *"now annualises to more than A$150 million as compared to just A$50 million annualised when we took over"* — **Chairman Kim**

VALUATION IMPLICATIONS

The A$148m annualised EBITDAM run-rate is nearly three times the group's A$48m annualised EBITDA, but almost none accrues to SGR shareholders.

- Shareholder exposure is the ~A$18m p.a. fee stream, currently roughly break-even after attributable costs.
- Release does not disclose any incentive or performance component in the amended CMA; fee upside treated as [unverified].
- Stage 2 of the JVP transaction remains subject to conditions, expected by 31 March 2027; Brisbane External Adviser extended to 31 March 2027.
- Treasury Brisbane stays in discontinued operations with nil EBITDA.

ANALYST READ

Brisbane proves the Bally's/Mathieson playbook works under Australian regulation, but for the equity it is an advertisement rather than earnings.

- A 27% EBITDAM margin on a new-build IR with an External Adviser in place strengthens the suitability case with the Queensland regulator.
- Star's economic exposure is now a low-margin management contract plus whatever is embedded in Stage 2.
- Management led with the EBITDAM record; the operator fee line is where actual earnings sit, and it is the only line that went backwards.

THE STAR BRISBANE, A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP)	QOQ	YOY
CONSOLIDATED SEGMENT (STAR'S ECONOMICS)					
Operator fee revenue Amended CMA effective 1 Apr 2026 (Stage 1 of JVP transaction).	4.5 (~$3m)	5 (~$3.5m)	13.8 (~$10m)	0%	–67%
Operating expenses (directly attributable)	(5) (~$3.5m)	(6) (~$4m)	(8) (~$6m)	–9%	–37%
Segment EBITDA	**0**	**(1) (~–$0.7m)**	**6 (~$4m)**	**nmf**	**nmf**
MANAGED PROPERTY (NOT CONSOLIDATED)					
Revenue	136 (~$95m)	121 (~$85m)	119 (~$83m)	+12%	+14%
EBITDAM (before operator fee)	**37 (~$26m)**	**26 (~$18m)**	**13 (~$9m)**	**+43%**	**+193%**
EBITDAM margin	27.2%	21.5%	10.9%	+570bps	+1,630bps
Annualised EBITDAM run-rate (est.) Quarter x4; Chairman cites >A$150m annualising vs ~A$50m at takeover.	~148 (~$104m)	~104 (~$73m)	~52 (~$36m)	—	—
Operator fee as % of managed revenue	3.3%	4.1%	11.6%	–80bps	–830bps
Treasury Brisbane EBITDA (discontinued ops)	0	n/a	n/a	—	—
External Adviser appointment	To 31 Mar 2027	To Sep 2026 (then extended)	—	—	—
JVP transaction Stage 2	Expected by 31 Mar 2027 (subject to conditions)	—	—	—	—

6 SEGMENT DEEP-DIVE — CORPORATE, CASH FLOW & BALANCE SHEET

Unallocated corporate costs –29% to A$23m, but statutory operating cash flow was –A$15.5m, cash fell A$28m to A$239m (and ~A$200m by the AGM), interest is being paid from a reserve that runs out in May 2027, and A$260m of AUSTRAC penalties now sit on top.

CORPORATE COSTS

Unallocated corporate costs fell 29% YoY to A$23m (~$16m), 8.1% of group revenue versus 11.8%, with no quantified FY27 target.

- Down A$10m YoY and 4% QoQ; residual covers remediation, legal and compliance, technology, audit, tax and consolidated reporting.
- Customer-facing functions moved to properties; Chairman said decentralisation of operational control completed in October.
- Management expects further falls and says cost-out is ongoing 'in order to fund increased marketing investments'.
- At FY26 corporate costs fell A$75m in the year; June-quarter annualised pre-attribution corporate costs of A$178m were 38% below FY25.

OPERATING CASH FLOW

Net operating cash flow was –A$15.5m (~–$11m) and cash fell from A$267.1m to A$239.4m despite A$12m EBITDA.

- Receipts from customers A$334.4m (~$234m) against A$178.1m operating costs, A$177.5m staff costs (53% of receipts), A$25.8m admin, A$10.4m marketing, A$2.0m leases.
- Interest received A$2.5m; 'other' receipts A$41.5m from a one-off ATO settlement on junket GST/withholding plus returned rebate duty.
- Investing –A$10.4m (capex A$5.7m, DGCC JV loans A$5.1m, dividends +A$0.4m); financing –A$0.1m; FX –A$1.7m.
- Excluding A$41.5m one-off receipts, underlying operating cash flow was –A$57.0m before the undisclosed NSW duty payment, which must exceed ~A$57m (~A$63m after capex) for management's positive-FCF claim — [unverified].

> *"operating free cash flow excluding one-off items was positive"* — **Management**

INTEREST RESERVE

No interest was paid through operating cash flow; the WhiteHawk coupon draws from a A$48m Interest Reserve Account that funds payments to May 2027.

- Restricted deposits fell A$21m to A$80m, consistent with an interest draw plus reduced bank-guarantee collateral (our inference).
- Implied cash interest ~A$6m per month or ~A$70m+ per year, roughly 13% on the A$559m facility — our estimate, not a company figure.
- Chairman told the AGM cash was 'approximately A$200 million', some A$40m below the 30 September balance, without explanation.

DEBT AND AUSTRAC PENALTY

The US$390m WhiteHawk facility (A$559.1m) is fully drawn with no undrawn revolver, and the A$260m AUSTRAC penalty triggers a review event.

- Total drawn A$570.7m including A$11.6m PIK liability to Bally's and Investment Holdings at 9%, converted 29 October into 105,917,185 shares at A$0.1123 (99.5–99.7% approval).
- Unused facilities just A$6.0m under a A$15.3m Westpac bank-guarantee line; facility matures May 2029.
- Our estimate: net debt ~A$331m (~$232m) excluding restricted deposits or ~A$252m (~$176m) including them; leverage not meaningful on LTM EBITDA ~A$9m.
- Penalty A$260m (~$182m), in line with FY26 provision, payable in four instalments over 19 months; company 'confident' the facility remains available.
- Going-concern material-uncertainty language from Note G is repeated and will be reassessed at the half-year.

ANALYST READ

Properties are self-funding at the EBITDA line but the group is not; the WhiteHawk review-event outcome is the single most important near-term disclosure.

- Over 19 months: ~A$260m penalty instalments (~A$65m average), interest reserve exhausted May 2027 then ~A$70m p.a. cash interest, DGCC calls and maintenance capex.
- Against this: ~A$200m unrestricted cash, ~A$30m restricted non-IRA deposits and EBITDA running at ~A$48m annualised.
- 'Net operating cash inflows before one-off items' is achievable; 'building cash reserves' is not unless EBITDA compounds quickly, Stage 2 releases value, or Bally's provides support.

CORPORATE & CASH, A$M (USD AT 0.70)	Q1 FY27	Q4 FY26	Q1 FY26 (PCP)	QOQ	YOY
Unallocated corporate costs	**(23) (~$16m)**	**(24) (~$17m)**	**(33) (~$23m)**	**–4%**	**–29%**
% of group revenue	8.1%	9.2%	11.8%	–110bps	–370bps
APPENDIX 4C – OPERATING CASH FLOW					
Receipts from customers	334.4 (~$234m)	n/a	n/a	n/a	n/a
Operating cost payments (incl. one-off NSW duty payment)	(178.1) (~–$125m)	n/a	n/a	n/a	n/a
Staff costs	(177.5) (~–$124m)	n/a	n/a	n/a	n/a
Advertising & marketing (cash)	(10.4) (~–$7m) = 3.6% of revenue	n/a	n/a	n/a	n/a
Administration & corporate	(25.8) (~–$18m)	n/a	n/a	n/a	n/a
Interest received / interest paid	+2.5 / nil (paid from IRA)	n/a	n/a	n/a	n/a
Other – one-off receipts (ATO settlement, rebate duty)	+41.5 (~$29m)	n/a	n/a	n/a	n/a
Net operating cash flow	**(15.5) (~–$11m)**	**n/a**	**n/a**	**n/a**	**n/a**
Implied one-off duty payment for 'op FCF ex one-offs > 0' (est.) Analyst arithmetic; company did not quantify. [unverified]	>~57 pre-capex / >~63 post-capex	—	—	—	—
Investing / financing / FX	(10.4) / (0.1) / (1.7)	n/a	n/a	n/a	n/a
LIQUIDITY & DEBT					
Cash & cash equivalents Chairman: 'approximately A$200m' at 27 Oct 2026.	239.4 (~$168m)	267.1 (~$187m)	n/a	–A$27.6m	n/a
Restricted deposits (of which Interest Reserve Account)	80 (48) (~$56m)	101 (n/a)	n/a	–A$21m	n/a
WhiteHawk facility drawn (US$390m) Senior secured; matures May 2029. Implied cash interest ~A$70m p.a. (est., from IRA run-off).	559.1 (~$391m)	n/a	n/a	—	—
PIK liability to Bally's / Investment Holdings (9%)	11.6 (~$8m) → converted to 105.9m shares @ A$0.1123 on 29 Oct	n/a	n/a	—	—
Unused committed facilities	6.0 (~$4m) (bank-guarantee headroom)	n/a	n/a	—	—
Net debt ex restricted deposits (est.)	~331 (~$232m)	n/a	n/a	—	—
4C 'estimated quarters of funding' (item 8.5) Mechanical; ignores A$260m AUSTRAC instalments and interest from Jun-27.	15.9	n/a	n/a	—	—
AUSTRAC civil penalty (post-quarter, 28 Oct 26) Review event under WhiteHawk facility; 'materially in line with' FY26 provision.	260 (~$182m); 4 instalments / 19 months	—	—	—	—

7 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Owned-property EBITDA (Sydney + Gold Coast) rose A$21m YoY to A$35m (~$24.5m) with margin +720bps to 12.5%; both properties are now EBITDA-positive and the group printed its first positive EBITDA (A$12m / ~$8m) in more than two years. structural
- Cost base reset is visible in the numbers: group opex –12% YoY to A$202m (71.1% of revenue, –1,070bps), unallocated corporate –29% to A$23m, decentralisation completed in October with further reductions flagged. structural
- First YoY revenue growth at the owned properties (+5% to A$279m) since quarterly reporting began in Q1 FY25, following ~3 years of double-digit monthly declines; management says momentum continued in October and the Gold Coast Andaz opens in November. early
- Star Brisbane EBITDAM hit a record A$37m (~$26m), nearly 3x pcp, at a 27.2% margin and annualising >A$150m — strong evidence of operating capability and a supportive data point for Queensland suitability. structural
- AUSTRAC penalty landed at A$260m (~$182m) — well below the A$400m sought, in line with the FY26 provision, and payable over 19 months — removing the largest binary liability from the going-concern equation (post-quarter, 28 Oct). one-off
- Management reiterated that FY27 should be the first year of net operating cash inflows before one-off items in more than two years, with Q1 operating free cash flow excluding one-offs stated as positive. early

▼ LOWLIGHTS

- Brisbane operator fee –67% to A$4.5m under the amended CMA; the segment now contributes nil EBITDA (vs A$6m pcp) and group revenue was flat on the originally reported Q1 FY26 base (A$284m). structural
- Statutory operating cash flow was –A$15.5m and cash fell A$28m to A$239m (~A$200m by the AGM per the Chairman); the 'positive op FCF ex one-offs' claim depends on an unquantified NSW duty payment that our arithmetic says must have exceeded ~A$57m. watch
- Interest is being paid from a A$48m reserve that runs out in May 2027; implied cash interest of ~A$70m p.a. (our estimate) exceeds the current ~A$48m annualised group EBITDA run-rate. structural
- Sydney licence suspension continues with the Manager extended to 30 Jun 2027; Gold Coast Special Manager and Brisbane External Adviser extended to 31 Mar 2027 — management itself called the outcome 'disappointing'. governance
- The A$260m AUSTRAC penalty constitutes a review event under the fully drawn WhiteHawk facility (no undrawn revolver; A$6m unused facilities) and going-concern material-uncertainty language is repeated pending the H1 FY27 assessment. watch
- Growth quality is unproven: EGM-led and funded by higher complimentaries and marketing (Gold Coast opex +8% QoQ, ~30% incremental flow-through), Sydney tables and non-gaming still soft, and gaming-tax take up 170bps of revenue on mix. mixed
- Disclosure is thin and comparability is impaired: no P&L below EBITDA, no actives/visitation/win-rate KPIs, FY26 property comparatives restated under a new cost-attribution method, and the one-off cash items are not quantified. governance

8 FORECAST & OUTLOOK

Guidance bridge. Star does not issue numerical guidance; its outlook statements are qualitative. At the FY26 result (31 Aug 2026) management said it expected to start building cash in FY27 excluding non-operating items, with July owned-property revenue +6% YoY. The Q1 FY27 release holds that line — 'FY27 is expected to be the first time The Star will generate net annual operating cash inflows, before one-off items, in more than two years' — and adds that momentum continued into October. The A$25m YoY EBITDA improvement was driven by the owned properties (+A$21m: Sydney +A$12m, Gold Coast +A$9m) and the corporate cost programme (+A$10m), partly offset by the Brisbane operator-fee reset (–A$6m). The A$260m AUSTRAC penalty, confirmed the day after the release, is treated by management as non-operating and is not captured in that framing.

GROUP EBITDA Q1 FY26 → Q1 FY27	OWNED PROPERTIES (SYDNEY +A$12M, GOLD COAST +A$9M)	UNALLOCATED CORPORATE COSTS	STAR BRISBANE SEGMENT (OPERATOR FEE RESET)
–A$13m → +A$12m (~$8m)	**A$14m → A$35m**	**–A$33m → –A$23m**	**+A$6m → nil**
+A$25m	+A$21m	+A$10m	–A$6m

Independent view. Q2 FY27 (Dec-26 quarter, our estimate): group EBITDA A$15–25m (~$10–18m) on owned-property revenue of ~A$290–305m (+6–10% YoY), helped by holiday-season seasonality, the Andaz opening and continued EGM momentum, with corporate costs ~A$21–22m and the Brisbane fee ~A$4.5m. **FY27 (est.): revenue A$1.10–1.13bn (~$0.77–0.79bn), roughly flat on FY26's A$1,101m** because the ~A$42m lower operator fee absorbs most of the owned-property growth; **group EBITDA A$55–85m (~$39–60m), a 5–7% margin, vs –A$16m in FY26**, predicated on owned-property EBITDA holding at A$35–45m per quarter and unallocated corporate drifting toward A$20m. **Leverage direction: net debt rises.** Gross debt is USD-denominated (A$559m at 0.6975) and stable to maturity in May 2029, but unrestricted cash of ~A$200m must absorb ~A$260m of AUSTRAC instalments over 19 months, DGCC funding, maintenance capex and — from June 2027 — ~A$70m p.a. of cash interest (our estimate). On our FY27 EBITDA range net debt/EBITDA stays >5x and is unlikely to be a meaningful metric before FY28; the equity case remains dependent on EBITDA compounding toward A$100m+, Brisbane Stage 2, and continued Bally's support. **Swing factors:** the WhiteHawk review-event outcome (terms, fees, any covenant reset); the timing and size of the first AUSTRAC instalment; NICC/Queensland licence decisions (Mar/Jun 2027); promotional reinvestment discipline at the Gold Coast; Sydney table-games stabilisation; and the phased NSW gaming-duty step-ups.

What to watch next quarter:

- WhiteHawk review-event resolution — any amended pricing, fees, covenants or additional security, and whether the ~A$50m additional liquidity provision referenced at signing remains available.
- First AUSTRAC instalment (amount and date) and the cash balance at 31 Dec 2026 in the Q2 FY27 4C; reconciliation of the ~A$40m Oct-26 cash drop flagged by the Chairman.
- H1 FY27 results (Feb 2027): going-concern assessment, quantification of the one-off NSW duty payment and ATO receipts, P&L below EBITDA including interest expense, and any impairment.
- Regulatory calendar: Gold Coast Special Manager and Brisbane External Adviser to 31 Mar 2027; Sydney Manager to 30 Jun 2027; any NICC commentary on a path to licence reinstatement.
- Brisbane JVP Stage 2 completion by 31 Mar 2027 and disclosure of the amended CMA fee economics (base vs incentive).
- Monthly owned-property revenue trajectory through the Dec-26 quarter (Andaz opening, holiday season) and whether Gold Coast opex growth decouples from revenue growth.
- Interest Reserve Account run-off toward May 2027 and the transition of ~A$70m p.a. (est.) of cash interest into operating cash flow.

DATA CONFIDENCE: MEDIUM FX: AUD/USD 0.70 as of 27 Oct 2026 (USD/AUD 1.4246; company used 0.6975 at 30 Sep 2026 for US$390m = A$559.1m). All segment and group revenue/EBITDA, cash, restricted deposits, debt drawn and Appendix 4C cash-flow lines are taken directly from the ASX Quarterly Activities Report and Appendix 4C dated 27 Oct 2026 (HIGH confidence). The following are analyst derivations, not company figures: net debt (~A$331m ex restricted), LTM EBITDA (~A$9m), implied one-off NSW duty payment (>~A$57m), implied cash interest (~A$6m/month, ~A$70m p.a., ~13%), incremental flow-through percentages, annualised run-rates and all FY27/Q2 estimates. Not verified/not disclosed: the quantum of the one-off duty payment and ATO receipts split; net income and EPS for the quarter (not reported in ASX quarterlies); product-level revenue split; any KPIs (actives, visitation, win rates); whether the amended Brisbane CMA includes an incentive fee; the reason for the ~A$40m cash decline between 30 Sep and the 27 Oct AGM; WhiteHawk facility coupon. Share-price close (A$0.130, +13.04%) from exchange quote vendors; intraday figures from Kalkine/Capital Brief differ (+17–19.6%). The user-supplied Gaming Intelligence article was paywalled beyond its lede (shares +13%). Web-tool rate limits prevented retrieval of the Q1 FY26 (Oct-25) quarterly for pre-restatement property comparatives and the full AUSTRAC ASX announcement text; AUSTRAC details rely on AGBrief/Kalkine/ABC summaries of that announcement.

Sources: [Primary] The Star Entertainment Group – ASX Announcement: Quarterly Activities Report & Appendix 4C for the period ended 30 September 2026 (27 Oct 2026) — PRIMARY; [Primary] The Star Entertainment Group – 2026 AGM Chairman & CEO Addresses (27 Oct 2026) — PRIMARY; [Primary] The Star Entertainment Group – FY26 Annual Report (31 Aug 2026) — PRIMARY (snippet only: FY26 EBITDA –A$16.1m, revenue A$1.1bn); [Secondary] Gaming Intelligence – 'Star Entertainment Group shows strong EBITDA growth in Q1 FY27' (27 Oct 2026) — user-supplied; paywalled beyond lede; [Secondary] Asia Gaming Brief – 'Star Entertainment returns to EBITDA profit as NICC keeps Sydney licence suspended' (27 Oct 2026); [Secondary] Asia Gaming Brief – 'Star accepts A$260M AUSTRAC penalty, flags WhiteHawk facility review event' (29 Oct 2026); [Secondary] Small Caps – 'The Star Entertainment Group Returns to Positive Quarterly Earnings on Improved Casino Revenue' (27 Oct 2026); [Secondary] NEXT.io – 'FY 2026: The Star narrows loss as slots recovery lifts trading' (31 Aug 2026) — FY26 context, WhiteHawk maturity, Stage 2 timing; [Secondary] Kalkine – 'Why Has The Star Entertainment Group (ASX:SGR) Stock Rallied on the ASX Today?' (27 Oct 2026) — intraday price; [Secondary] Kalkine – 'The Star Entertainment Group Accepts $260 Million AUSTRAC Penalty Payable Over 19 Months' (29 Oct 2026); [Secondary] Capital Brief – 'Star Entertainment shares jump 17% after swinging to Q1 profit' (27 Oct 2026); [Secondary] ABC News – 'Star Casino fined $260 million for historical money laundering violations' (28 Oct 2026); [Secondary] Investing.com – 'Why is The Star Entertainment stock rallying today?' (29 Oct 2026) — post-halt reaction; [Secondary] MarketScreener / Halo Technologies – SGR quote, close A$0.130 (+13.04%) 27 Oct 2026; [Secondary] Inside Asian Gaming – 'Bally's says Star remediation progressing at good pace' (1 Nov 2026) — Bally's ~38% stake; [Secondary] Focus Gaming News – 'The Star seeks shareholder approval for US$8.4m share settlement' (Sep 2026) — PIK conversion share counts; [Secondary] Yahoo Finance – USD/AUD historical rates (27 Oct 2026: 1.4246).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.